MEASURE ___

Occupancy Tax

City of Farmersville

Impartial Analysis from the City Attorney

The City currently does not collect a transient occupancy tax ("TOT") from transients, who are defined as those individuals occupying hotel rooms within the City for fewer than thirty (30) days. The transient pays the tax to the hotel and the hotel pays the tax to the City. The City deposits the revenue into its General Fund, which supports a wide range of City services, including police and fire protection, youth recreation, senior activities, programs and economic development. Although the City does not currently have any hotels, the City anticipates that a 10% TOT will generate $250,000 annually once a moderate sized facility is operational.

The TOT will be deposited into the General Fund and as such will be a general tax. A complete description of the TOT may be found on the City's website at http://www.cityoffarmersville-ca.gov/148/City-Clerk."

The measure places before the voters the enactment of a 10% TOT that will become effective if a majority of voters approve it. The above statement is an impartial analysis of Measure ___. If you desire a copy of the measure, please call the City Clerk of the City of Farmersville at 559-747-0458 and a copy will be mailed to you at no cost.

Arguments for Measure __

Measure ___ enables voters to establish a 10% tax rate on hotel/motel occupancy, called the Transient Occupancy Tax (TOT). It is NOT a new tax.

A 10% tax rate is very competitive with other communities and could become one of the most important funding sources for vital City services.

Measure ___ is good government. The City Council and community leaders urge you to vote "YES" on Measure __.

s/Tina Hernandez, Mayor

s/Araceli Ochoa, Mayor Pro Tem

s/Paul Boyr, City Council Member

s/Gregorio Gomez, City Council Member

s/Danny Valdovinos, City Council Member

(No arguments against Measure ___ were submitted)

Full Text of Measure ___

ORDINANCE NO. __538_____

Chapter 3.44

TRANSIENT OCCUPANCY TAX

Sections:

3.44.010 Definitions.
3.44.020 Tax imposed.
3.44.030 Exemptions.
3.44.040 Collection; Operator's duties.
3.44.050 Transient occupancy registration certification.
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3.44.120 Refunds.
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3.44.140 Deficiency determinations.
3.44.150 Amendment or repeal – Adjustment of Taxing Rate or Methodology.

3.44.010 Definitions.

Except where the context otherwise requires, the definitions given in this section govern the construction of this article:

A. "Chief Financial Officer" means the City's Chief Financial Officer, or designee.

B. "Hotel" means any structure or any portion of any structure, which is occupied or intended or designed for occupancy by transients for dwelling, lodging, or sleeping purposes, and includes any hotel, inn, tourist home or house, motel, studio hotel, bachelor hotel, lodging house, rooming house, dormitory, public or private club, mobile home or house trailer at a fixed location or other similar structure or portion thereof, even if such structure is also used for other purposes, including residential purposes.

C. "Occupancy" means the use or possession of, or the right to use or possession of any room or rooms or portion thereof, in any hotel for dwelling, lodging, or sleeping purposes; whether or not the person entitled to the use or possession actually uses or possesses such room or rooms or portion thereof. The use or possession or right to use or possess any room or any suite of connecting rooms as office space, banquet or private dining rooms, or as exhibition, sample or display space shall not be considered "occupancy" unless the person uses or possesses, or has the right to use or possess all or any portion of such room or suite of rooms for dwelling, lodging or sleeping purposes.

D. "Online Short-Term Rental Company" means any person, whether operating for profit or not for profit, which facilitates the connection between transient and operator to purchase occupancy in any hotel via the Internet, or by similar electronic means.

E. "Online Travel Company" means any person whether operating for profit or not for profit, which enables transients to purchase occupancy in a hotel via the Internet, or by other similar electronic means.

F. "Operator" means the person who is the proprietor of the hotel, whether in the capacity of owner, lessee, sublessee, mortgagee in possession, licensee, or any other capacity. Where the Operator functions through a managing agent or any type of character other than an employee, the managing agent shall also be deemed an operator for the purposes of this chapter and shall have the same duties and liabilities as the principal. Compliance with the provisions of this chapter by either the principal or the managing agent shall, however, be considered to be compliance by both.

G. "Person" means any individual, firm, partnership, joint venture, association, social club, fraternal organization, joint stock company, corporation, estate, trust, business trust, receiver, trustee, syndicate, or any other group or combination action as a unit.

H. "Rent" means The total consideration charged to the transient, including but not limited to, room rates, service charges, parking fees, purchase price, advanced registration, block or group reservation charges, assessments, retail markup, commission, processing fees, cancellation charges, nutrition fees, or online booking or broker fees, whether charged by an operator or a rental agent, whether or not received, for occupancy in a hotel valued in money, whether to be received in money, goods, labor or otherwise, including all receipts, cash, credits and property and services of any kind or nature, without any deduction therefrom whatsoever. Nothing in this definition shall be construed to mean that rent is charged directly or indirectly for occupancy in a hotel when a room is provided to the transient as a compliment from the operator and where no consideration is charged to or received from any other person. Further, bona fide charges for food and beverages which are subject to tax under the California Sales and Use Tax Law (Revenue and Taxation Code Sections 6001 *et. seq.*) shall not be deemed rent subject to the tax imposed by this chapter.

I. "Rental agent" means any person other than an operator who collects rent from a transient for the transient's occupancy of a hotel, including but not limited to an online travel company or an online short-term rental company.

J. "Transient" means any person who exercises occupancy or is entitled to occupancy by reason of concession, permit, right of access, license or other agreement for a period of thirty (30) consecutive days or less, counting portions of calendar days as full days. Any such person occupying such space in a hotel shall be deemed a transient until the period of thirty (30) days has expired unless there is an agreement in writing between the operator and the occupant providing for a longer period of occupancy. In determining whether a person is a transient, uninterrupted periods of time extending both prior and subsequent to the effective date of this chapter may be considered.

3.44.020 Tax imposed.

For the privilege of occupancy in any hotel, each transient is subject to and shall pay a tax in the amount of ten percent of the rent paid by the transient. This tax constitutes a debt owed by the transient to the City, which is extinguished only by payment to the operator, the City, or to a rental agent pursuant to Section 3.44.060. The transient shall pay the tax to the operator or rental agent at the time the rent is paid. If the rent is paid in installments, a proportionate share of the tax shall be paid with each installment. The unpaid tax shall be due upon the transient's ceasing

of occupancy. If for any reason the tax due is not paid to the operator or rental agent, the City's Chief Financial Officer may require that such tax shall be paid directly to the City's Chief Financial Officer.

3.44.030 Exemptions.

A. No tax shall be imposed upon:

1. Any federal or State of California officer or employee when occupying a room while on official government business.
2. Any officer or employee of a foreign government who is exempt by reason of express provision of federal law or international treaty.

B. No exemption shall be granted except upon a claim made at the time rent is collected, and under penalty of perjury, upon a form prescribed by the City's Chief Financial Officer. Any federal or State of California officer of employee when on official governmental business claiming such exemption shall provide to the operator conclusive evidence that the occupancy is official business:

1. Travel orders from the government employer; or a government warrant issued to pay for the occupancy; or a government credit card issued to pay for the occupancy; and
2. Proof of governmental employment as an employee or officer as described in paragraph (1) of this subsection (B) and proof, consistent with these provisions, that the occupancy is for official business.

C. It shall be the duty of an operator to keep and maintain for a period of three (3) years written documentation in support of each exemption granted under this section.

3.44.040 Collection; Operator's duties.

A. Each operator shall collect the tax imposed by this chapter to the same extent and at the same time as the rent is collected from every transient.

B. If the rent is prepaid by obtaining blocks of credit or similar calls upon occupancy to be subsequently reserved, the operator shall collect the tax at the same time as specific periods for occupancy are committed to the transient by the operator, the operator shall hold such tax until it is determined to what extent, if any, the credits or similar calls upon occupancy are issued, or otherwise forfeited, and the operator shall refund the tax to the transient applicable to periods when credits or similar calls upon occupancy are not used but are restored to the transient, or the tax shall be deemed irrevocably collected for the

remittance to the City's Chief Financial Officer at the time when the credits or similar calls upon occupancy are so used, or otherwise forfeited, by the transient.

C. The amount of tax shall be separately stated from the amount of the rent charged, and each transient shall receive for payment from the operator. No operator of a hotel shall advertise or state in any manner, whether directly or indirectly that the tax or any part thereof will be assumed or absorbed by the operator, or that it will not be added to the rent, or that, if added, any part will be refunded except in the manner hereinafter provided.

3.44.50 Transient occupancy registration certification.

Within thirty (30) days after the effective date of this chapter, or within thirty (30) days after commencing business, whichever is later, each operator of any hotel renting occupancy to transients shall register said hotel with the City's Chief Financial Officer and obtain a transient occupancy registration certificate to be at all times posted in a conspicuous place on the premises. Said certificate shall, among other things, state the following:

1. The name of the operator;
2. The address of the hotel;
3. The date upon which the certificate was issued;
4. "This Transient Occupancy Registration Certificate signifies that the person named on the face hereof has fulfilled the requirements of the City of Farmersville Transient Occupancy Tax ordinance by registering with the Chief Financial Officer for the purpose of collecting from transients the transient occupancy tax and remitting said tax to the Chief Financial Officer. This certificate does not authorize any person to conduct any unlawful business or to conduct any lawful business in an unlawful manner, nor to operate a hotel without strictly complying with all local applicable laws, including but not limited to those requiring a permit from any board, commission, department or office of this City. This certificate does not constitute a permit and is not transferrable to a different operator."

3.44.060 Third party rental transactions.

A. Any transient who pays rent to a rental agent instead of to an operator shall, at the time the rent is paid, pay the tax to the rental agent in the manner required by Section 3.44.020. If for any reason the tax is not paid to the rental agent, it shall be paid to the operator before the transient has ceased occupancy in the hotel or paid directly to the City's Chief Financial Officer pursuant to Section 3.44.020. Any transient seeking a refund under Section 3.44.120 of taxes paid to a rental agent must establish that the transient has been unable to obtain a refund from the rental agent who collected the tax.

B. Any rental agent who collects rent shall comply with all obligations of the operator set forth in Sections 3.44.040 and 3.44.110 of this chapter. The rental agent shall remit all collected taxes to the operator before the deadline for the operator to remit the taxes to the City's Chief Financial Officer under Section 3.44.070, and the rental agent shall provide the operator with copies of all records required to be maintained by the operator pursuant to Section 3.44.110 of this chapter, including records necessary for the operator to comply with its obligations under this chapter.

C. If the City's Chief Financial Officer determines that a rental agent has failed to collect, remit, or report any tax, the City's Chief Financial Officer may take any action against the rental agent that he or she may take against an operator under Sections 3.44.080 and 3.44.090 of this chapter subject to the requirements of those sections. If the City's Chief Financial Officer assesses unremitted taxes and penalties against the rental agent, the rental agent shall be subject to the provisions of Sections 3.44.090, 3.44.100, 3.44.120 and 3.44.130 of this chapter as if it were an operator. Nothing in this section shall prohibit the City's Chief Financial Officer from assessing the full amount of any unremitted taxes and penalties solely against the operator in lieu of assessing some or all of those taxes and penalties against the rental agent.

3.44.070 Reporting and remitting.

Each operator on or before the last day of the month following the close of each calendar quarter, or at the close of any shorter reporting period which may be established by the City's Chief Financial Officer, shall make a return to the City's Chief Financial Officer, on forms provided by him or her, of the total rents charged and received in the amount of tax collected for transient occupancies. If no tax was due or collected during the previous reporting period, the operator shall file a return so stating under penalty of perjury. At the time the return is filed, the full amount of the tax collected shall be remitted to the City's Chief Financial Officer. The City's Chief Financial Officer may establish shorter reporting periods for any certificate holder if he or she deems it necessary in order to ensure collection of the tax, and he or she may require further information in the return. Returns and payments are due immediately upon cessation of business for any reason. All taxes collected by operators pursuant to this chapter shall be held in trust for the account of the City until payment thereof is made to the City's Chief Financial Officer.

3.44.080 Penalties and interest.

A. *Original delinquency.* Any operator who fails to remit any tax imposed by this chapter within the time required shall pay a penalty of ten percent (10%) of the amount of the tax, in addition to the amount of the tax.

B. *Continued delinquency.* Any operator who fails to remit any delinquent remittance on or before a period of thirty (30) days following the date on which the remittance first became delinquent shall pay a second delinquency penalty of ten percent (10%) of the amount of the tax in addition to the amount of the tax and the ten percent penalty first imposed.

C. *Fraud.* If the City's Chief Financial Officer determines that the nonpayment of any remittance due under this chapter is due to fraud, a penalty of twenty-five percent (25%) of the amount of the tax shall be added thereto in addition to the penalties stated in subsections (A) and (B) of this section.

D. *Interest.* In addition to the penalties imposed, any operator who fails to remit any tax imposed by this ordinance shall pay interest at the rate of one-half of one percent (0.5%) per month or fraction thereof on the amount of the tax, exclusive of penalties, from the date on which the remittance first became delinquent until paid.

E. *Penalties merged with tax.* Every penalty imposed and such interest as accrues under the provisions of this section shall become part of the tax herein required to be paid.

3.44.090 Failure to collect and report tax – Determination of tax by City's Chief Financial Officer.

A. If the operator shall fail or refuse to collect tax and to make, within the time provided in this chapter, any report and remittance of said tax or any portion thereof required by this chapter, the City's Chief Financial Officer shall proceed in such manner as may be deemed best to obtain facts and information on which to base an estimate of the tax due. As soon as the City's Chief Financial Officer shall procure such facts and information upon which to base the assessment of any tax imposed by this chapter and payable by any operator who has failed were refused to collect the same and to make such reports and remittance, the City's Chief Financial Officer shall proceed to determine and assess against such operator the tax, interest and penalties provided for by this chapter.

B. In case such determination is made, the City's Chief Financial Officer shall give a notice of the amount so assessed by serving it personally or by depositing it in the United States Mail, postage prepaid, addressed to the operator so assessed at his or her last known place of address. Such operator may within ten (10) days after this serving or mailing of such notice, make application in writing to the City's Chief Financial Officer for a hearing on the amount assessed. If application by the operator for a hearing is not made within the time prescribed, the tax, interest and penalties, if any, determined by the City's Chief Financial Officer shall become final and conclusive and immediately due and payable. If

such application is made, the City's Chief Financial Officer shall give not less than five (5) days written notice in the manner prescribed herein to the operator to show cause at a time and placed fixed instead notice why set amounts specified therein should not be fixed for such tax, interest and penalties.

C. At such hearing, the operator may appear and offer evidence why such specified tax, interest and penalties should not be so fixed. After such hearing, the City's Chief Financial Officer shall determine the proper tax to be remitted and shall thereafter give written notice and the amount of such tax, interest and penalties. The amount determined to be due shall be payable after fifteen (15) days unless an appeal is taken as provided in Section 3.44.100.

3.44.100 Appeal.

Any operator aggrieved by a decision of the City's Chief Financial Officer with respect to the amount of such tax, interest and penalties, if any, may appeal to the City Council by filing a notice of appeal with the City Clerk within fifteen (15) days of their serving or mailing of the determination of the tax due. The City Council shall fix a time and place for hearing such appeal, and the City Clerk shall give notice in writing to such operator at his or her last known address. The findings of the City Council shall be final and conclusive and shall be served upon the appellant in the manner prescribed in this section for service of notice of hearing. Any amount found to be due shall be immediately due and payable upon the service of notice.

3.44.110 Operators to retain records for three (3) years.

It shall be the duty of every operator liable for the collection and payment to the City of any tax imposed by this chapter to keep and preserve, for a period of three (3) years, all records as may be necessary to determine the amount of such tax as the operator may have been liable for the collection of and payment to the City, which records the City's Chief Financial Officer shall have the right to inspect at all reasonable times for the purposes of determining the accuracy thereof.

3.44.120 Refunds.

A. Whenever the amount of any tax, interest or penalty has been overpaid or paid more than once or has been erroneously or illegally collected or received by the City under this chapter, it may be refunded as provided in subsections (B) and (C) of this section; provided, a claim in writing therefore, stating under penalty of perjury the specific grounds upon which the claim is founded is filed with the collector within three (3) years

of the date of payment. The claim shall be on forms furnished by the City's Chief Financial Officer.

B. An operator may claim a refund or take as credit against taxes collected and remitted the amount overpaid, paid more than once or erroneously or illegally collected or received when it is established in a manner prescribed by the City's Chief Financial Officer that the person from whom the tax has been collected was not a transient; provided, however, that neither a refund nor a credit shall be allowed unless the amount of the tax so collected has either been refunded to the transient or credited to rent subsequently payable by the transient to the operator.

C. A transient may obtain a refund of taxes overpaid or paid more than once or erroneously or illegally collected or received by the City by filing a claim in the manner provided in subsection (A) of this section, but only when the tax was paid by the transient directly to the City's Chief Financial Officer or when the transient having paid the tax to the operator, establishes to the satisfaction of the City's Chief Financial Officer that the transient has been unable to obtain a refund from the operator who collected the tax.

D. No refund shall be paid under the provisions of this section unless the claimant establishes his right thereto by written records showing entitlement thereto.

3.44.130 Actions to collect.

Any tax required to be paid by any transient Under the provisions of this chapter shall be deemed a debt owed by the transient to the City. Any such tax collected by an operator which has not been paid to the City shall be deemed a debt owed by the operator to the City. Any person owing money to the City under the provisions of this chapter shall be liable to an action brought in the name of the City for recovery of such amount.

3.44.140 Deficiency determinations.

If the City's Chief Financial Officer is not satisfied with a return filed by an operator or the amount of the tax required to be paid to the City pursuant to a return, the City's Chief Financial Officer may compute and determine the amount required to be paid upon the basis of the facts contained in the return or upon the basis of any information within his possession or that may come into the City's Chief Financial Officer's possession. One or more deficiency determinations may be made of the amount due for any period. The City's Chief Financial Officer shall give to the operator written notice of his determination in the same manner as provided in Section 3.44.090. The operator shall be entitled to apply for a hearing on the amount assessed pursuant to the procedure set forth in Section 3.44.090 and shall thereafter be entitled to

appeal to the City Council in accordance with the provisions of Section 3.44.100. The penalties and interest provided by Section 3.44.080 shall be applicable to the amount of deficiency established pursuant to this section.

3.44.150 Amendment or Repeal – Adjustment of Taxing Rate or Methodology.

This chapter may be repealed or amended by the City Council without a vote of the people of the City of Farmersville. However, as required by California Constitution Article XIIIC (Proposition 218), voter approval is required for any amendment or provision that would increase the maximum rate or methodology of any tax levied pursuant to this chapter. The people of the City of Farmersville affirm that the action shall not constitute an increase of the rate or methodology of the transient occupancy tax requiring subsequent voter approval:

1. The restoration of the rate of the tax to a rate that is no higher than the maximum set by this voter-approved chapter, if the City Council has previously acted to reduce the rate of the tax; and
2. An action that interprets or clarifies the methodology of the tax, or any definition applicable to the tax, so long as interpretation or clarification (even if contrary to some prior interpretation or clarification) is not inconsistent with the language of this chapter; and
3. The establishment of a class of person or service that is exempt or excepted from the tax or the discontinuation of any such exemption or exception (other than the discontinuation of an exemption or exception explicitly set forth in this chapter); and
4. Resuming collection of the tax imposed by this chapter, even if the City of Farmersville had, for some period of time, either suspended collection of the tax or otherwise failed to collect the tax, in whole or in part.

ARTICLE 4. SEVERABILITY.

Each of the provisions of this Ordinance is severable from all other provisions. If any chapter, section, subsection, paragraph, sentence, clause or phrase of this Ordinance is for any reason held by a court of competent jurisdiction to be invalid, such decision shall not affect the validity of the remaining provisions of this Ordinance.

ARTICLE 5. NOT A CEQA PROJECT.

The City Council finds that this Ordinance is not subject to the California Environmental Quality Act (CEQA) pursuant to Sections 15060(c)(2) (the activity will not result in a direct or reasonable foreseeable indirect physical change in the environment) and 15060(c)(3) (the activity is not a project as defined in Section 15378) of the CEQA Guidelines, California Code of

Regulations, Title 14, Chapter 3, because it has no potential for resulting in physical change to the environment, directly or indirectly.

ARTICLE 6. EXECUTION AND EFFECTIVE DATE.

Following certification that Farmersville voters have approved this Ordinance, the Mayor shall sign it attesting to its adoption by the People voting thereon at the November 3, 2026 General Municipal Election, and the City Clerk shall cause the same to be entered in the book of original ordinance ordinances of said City; and shall cause the same, or a summary thereof, to be published as required by law.

This Ordinance shall take effect only if approved by a majority of the eligible voters of the City of Farmersville voting at the General Municipal Election to be held on November 3, 2026. Pursuant to California Elections Code section 9217, this Ordinance shall be deemed valid and binding and shall be considered as adopted upon the date that the vote is declared by the City Council and shall take effect ten (10) days after that date.

This Ordinance was approved and adopted by the People of the City of Farmersville at the City's November 3, 2026 statewide election.

_____

Mayor

ATTEST:

_____

City Clerk